

DEBT MUTUAL FUNDS ENDURED A GRUELLING FEW YEARS THANKS TO A COMBINATION OF SURGING INTEREST RATES, GALLOPING EQUITY MARKETS, AND THE WITHDRAWAL OF TAX BENEFITS. BUT THEY ARE POISED FOR A COMEBACK AS THE INTEREST RATE CYCLE SHIFTS

BY **TEENA JAIN KAUSHAL**

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APARNA RAJ, A 35-YEAR-OLD IT professional living in Noida, prefers a straightforward approach when it comes to investments. She has a strong preference for the stability and security of fixed deposits (FDs) over risky options like equity or other exotic asset classes. This simple strategy has rewarded her well so far, especially considering the rising interest rates in recent years. With the interest rate cycle projected to start declining, Raj is contemplating whether it's wise to continue with FDs. She can foresee the reinvestment risk when her FDs mature, and she might have to settle for lower FD rates upon renewal. What will be her next move?